9.3 Development of Industry

India was committed to the idea of promoting rapid industrial growth for economic development. Development can be achieved through several pathways. In a country like India with a large population where many raw materials were grown or were available, processing industries which were more labour-intensive would have also led to industrial growth. Alternatively, the Gandhian model stressed a model of growth with village and cottage industries as the ideal way to produce consumer goods, which would eliminate rural poverty and unemployment.

But the government adopted the Nehruvian model of focusing on large scale, heavy industry to promote wide-ranging industrial development. In keeping with the basic principle of a "socialistic society", the state would play a major role in developing the industrial sector through setting up units wholly owned by the state. The emphasis on heavy industry was to promote the production of steel and intermediate products like machines, chemicals and fertilizers for the developing industries. The social purpose that would be achieved by this model of development was to restrict private capital which was considered to be exploitative and excessively profit-oriented, which benefited a small class of capitalists.

(a) Industrial Policy

A series of Industrial Policy statements were adopted to promote these objectives. The first policy statement was made in 1948. It classified industries into four categories:

1. Strategic industries which would be state monopolies (atomic energy, railways, arms and ammunition);
2. 18 industries of national importance under government control (heavy machinery, fertilizer, heavy chemicals, defence equipment, etc.);
3. Industries in both the public and private sectors;
4. Industries in the private sector.

The most definitive policy statement was the Industrial Policy Resolution of 1956 which classified industries into three categories: Schedule A industries were under the monopoly of the state; Schedule B industries, the state could start new units but the private sector could also set up or expand their units; Schedule C were the remaining industries.

The Industrial Development and Regulation Act of 1951 was an important instrument for controlling the private sector. This Act stipulated that no new industrial units could be set up, nor the capacity of existing units expanded without a licence or permit from the government.

The Policy Statement of 1973 encouraged large industrial houses to start operations in rural and backward areas to reduce regional imbalances in development. The Policy Statement of 1977 was framed by the short-lived Janata government which was aimed at promoting rural, village and small scale industries.

The Policy Statement of 1980 was announced by the Congress government which also aimed at promoting balanced growth. Otherwise all these statements continued the ideology of a strong public sector owned by the state and control over the private sector and especially the large business houses.

There were also other interventions which intruded into the market economy. For instance, inputs produced in the private sector like cement were rationed, and permits had to be obtained even for private construction of houses. The manufacture of consumer goods was severely restricted under the licensing policy. This was partly an expression of the ideology of reducing inequalities in consumption between the affluent and weaker sections of society. But it was also a way to ensure that scarce resources like steel, cement etc. would be used in strategic industries for the long-term development of the economy.

Many important industries and services were nationalised. These included coal mines,

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